



Fundamentals of Human Resource Management (HRM1)

Module 3: Theories and Models of HRM

Lesson 2: Models of HRM

Lesson Notes

KMVTECHUG

Version: 2026

Classic HR Models, Harvard, Michigan and Warwick

A model is a simplified representation of a system or process that provides a framework for understanding complex relationships and guiding decisions. In HRM, models provide structure for designing and implementing effective HR practices.

The Harvard Model provides a framework for aligning HR practices with organisational strategy, while considering the interests of multiple stakeholders and situational factors such as labour markets and laws (Beer, Spector, Lawrence, Mills, & Walton, 1984). The model emphasises that HR decisions should balance the needs of shareholders, employees, and the wider community, not just short term cost.

The Michigan Model, also called the Matching Model, emphasises tightly coordinating HR practices with organisational strategy (Fombrun, Tichy, & Devanna, 1984). Where the Harvard Model considers multiple stakeholders, the Michigan Model is more narrowly focused on making sure recruitment, appraisal, rewards, and development all directly serve the business strategy, with less emphasis on broader stakeholder interests.

The Warwick Model builds on both by focusing on the theoretical relationship between HR practices and business performance, exploring how the wider business context, internal culture, and HR strategy interact to shape organisational outcomes (Hendry & Pettigrew, 1990). A Ugandan telecom expanding into a new region would need to consider, under the Warwick Model, not just its HR policies in isolation, but how the local labour market, existing company culture, and competitive pressure all shape what HR approach will actually succeed.

Reflect: *Of the Harvard, Michigan, and Warwick models, which do you think best fits a growing Ugandan organisation balancing cost pressures with the need to keep staff motivated?*

The 5P Model and the Ulrich Model

The 5P Model of Strategic HRM connects HR management to business success through five elements, purpose, principles, processes, people, and performance, providing a comprehensive framework that links HR activity all the way through to organisational results (Schuler, 1992). Rather than treating HR as a set of isolated activities, the 5P Model insists every HR process should trace back to a clear organisational purpose.

The Ulrich Model defines four key roles HR professionals must play to drive organisational success, strategic partner, change agent, employee champion, and administrative expert (Ulrich, 1997). This model was introduced briefly in Module 1 when discussing the role of the HR professional, and it reappears here as a formal, named framework. An HR officer at a Ugandan NGO who only processes leave forms and payroll is functioning purely as an administrative expert, while an HR officer who also advises senior management on restructuring, in addition to handling that same paperwork, is fulfilling the strategic partner and change agent roles as well.

***Reflect:** Looking back at the four Ulrich roles, strategic partner, change agent, employee champion, and administrative expert, which role do you think most HR departments in Uganda currently spend the most time on, and which is most neglected?*

Strategic HR Models, Guest, Storey and HPWS

The Guest Model describes HR through six interrelated dimensions of analysis that must align with business strategy, emphasising that HR practices only add value when genuinely integrated with what the organisation is trying to achieve, rather than existing as a separate function (Guest, 1997).

The Storey Model distinguishes between hard HRM, which is cost focused and treats employees primarily as a resource to be managed efficiently, and soft HRM, which prioritises employee wellbeing, development, and engagement (Storey, 1992). Most real organisations sit somewhere between these two extremes, rather than purely at one end. A Ugandan factory focused mainly on minimising labour costs per unit produced is leaning toward hard HRM, while an organisation that invests heavily in training and employee wellbeing even where the short term cost is higher is leaning toward soft HRM.

High Performance Work Systems, often abbreviated HPWS, optimise efficiency and productivity through scientific methods and standardised HR practices, designing recruitment, training, and reward systems specifically to maximise employee performance (Appelbaum, Bailey, Berg, & Kalleberg, 2000).

***Reflect:** Thinking about the hard versus soft HRM distinction in the Storey Model, would you say most Ugandan organisations you know lean more toward hard HRM or soft HRM, and what evidence makes you say that?*

Theories, Models, and What Comes Next

This module covered nine theories in Lesson 1 and eight models in Lesson 2. The distinction is worth holding onto clearly. Theories explain why employees and organisations behave the way they do. Models give HR professionals practical frameworks for designing actual systems, recruitment processes, reward structures, and organisational strategies.

No single theory or model is correct in every situation. Effective HR professionals draw on whichever theory or model best explains the specific problem in front of them, whether that is an individual's motivation, a manager's style, or an entire organisation's strategic direction.

The next module moves from these conceptual foundations into HR systems and technology, the practical infrastructure that turns these theories and models into everyday HR operations.